II ASSETS	₹
1. Non-current assets	
Fixed assets	
(a) Tangible assets	1,50,000
2. Current assets	
(a) Inventories	45,000
(b) Trade receivables	70,000
(c) Cash and cash equivalents	30,000
(d) Other current assets	
Prepaid expenses	5,000
Total	**3,00,000**

Calculate: (i) Current ratio (ii) Quick ratio

Solution

$$\text{(i) Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}} = \frac{1,50,000}{50,000} = 3:1$$

Current assets = Inventories + Trade receivables + Cash and cash equivalents + Prepaid expenses

= 45,000 + 70,000 + 30,000 + 5,000 = ₹ 1,50,000

Current liabilities = Short term borrowings + Trade payables + Expenses payable + Short term provisions

= 17,000 + 25,000 + 3,000 + 5,000 = ₹ 50,000

$$\text{(ii) Quick ratio} = \frac{\text{Quick assets}}{\text{Current liabilities}} = \frac{1,00,000}{50,000} = 2:1$$

Quick assets = Total current assets − Inventories − Prepaid expenses

= 1,50,000 − 45,000 − 5,000 = ₹ 1,00,000



Student activity 9.2

Collect data, from five similar sole trading businesses, on current assets and current liabilities as on a particular date. Calculate liquidity ratios and compare their liquidity position.

9.6.2. Long term solvency ratios

Long term solvency means the firm's ability to meet its liabilities in the long run. Long term solvency ratios help to determine the ability of the business to repay its debts in the long run. The following ratios are normally computed for evaluating long term solvency of the business:

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